

In a desperate measure to cover up the non-existent revenues, Raju proposed to the board that Satyam buy out the unlisted Maytas Properties (wholly owned by the Raju family) for Rs 6,240 crore, and pick up a 51 per cent stake in the listed Maytas Infra for Rs 1,440 crore.

Institutional shareholders were outraged, thinking Satyam promoters were trying to profit at the expense of minority shareholders of the company. Raju realized that antagonizing his important shareholders would draw more attention to the company's workings, and so dropped the plan.

That mollified investors somewhat. Just as Raju managed to put out one fire, another broke out a few days later. Fox News reported that the World Bank had banned Satyam from doing business with it for eight years for allegedly bribing its officials to secure orders. The company vehemently denied it, but the World Bank confirmed the development, sending the stock crashing by over 13 per cent.

Things were rapidly getting out of control for Raju. On 27 December, just two days before the scheduled board meeting to consider a share buyback proposal for the company, it was announced that the meeting was being deferred to 10 January as options other than a buyback were being considered. The company appointed DSP Merrill Lynch to advise it on 'strategic options to enhance shareholder value'.

DSP Merrill Lynch's association with Satyam dated back to 1999 when it had been lead manager to the company's ADR issue and adviser to subsidiary Satyam Infoway's acquisition of Indiatoworld for a jaw-dropping Rs 499 crore. The deal, as I have mentioned earlier, had raised many an eyebrow, and there had been whispers in market and corporate circles that the promoters had actually siphoned off the cash raised in the recent ADR issue through the extravagant acquisition.

A week after its appointment as adviser to Satyam on 'strategic options', DSP Merrill issued a statement that it was terminating the assignment, saying the company was not forthcoming on some crucial disclosures.

Even though its stock had nosedived, many in the market believed the government would intervene, directly or indirectly, to salvage Satyam, given the number of jobs – roughly 53,000 – at stake, and the fact that Lok Sabha elections were barely three months away and state elections due shortly after. A section of the market hoped industry rivals would be interested in buying out Satyam at some price or other, even if the full extent of the fraud was yet to be ascertained.